

Activity 6: Anchor and Frame an Agency Retainer

Course TGS-2023020567 · K4 · K5 · A4

Objective

Use a supportable opening offer, framing and package design to negotiate a marketing agency retainer.

Real-world use-case basis

Real-world use case: professional-service retainers combine scope, quality, staffing, intellectual property, metrics and commercial risk. The scenario is a realistic composite.

Scenario

A consumer brand needs an agency for a six-month regional launch. The preferred agency proposes SGD 28,000 monthly and promises senior attention but leaves deliverables vague. A lower-priced bidder has less category experience. The launch date is fixed, but media spend and production scope can be phased.

Primary source

<https://www.fuqua.duke.edu/programs/executive-education/business-negotiation-skills/negotiation-techniques>

Training assumptions

- The approved expected budget is SGD 24,000 monthly, with authority up to SGD 26,000 for defined senior staffing and performance reporting.
- The preferred agency's comparable work reduced acquisition cost by 12%, but attribution is not independently verified.
- The brand values launch readiness more than a small price reduction.
- A pilot phase can be completed in eight weeks before full regional rollout.

Questions

1. Should the brand make the first offer, and why?
2. What evidence makes the anchor credible rather than arbitrary?
3. How should value be framed without overstating uncertain performance?
4. Which concessions should be conditional and reciprocal?

Expected output

A five-minute opening and a complete commercial package with evidence.

Acceptance test

The opening is ambitious but evidence-backed, covers at least six terms and includes no unconditional concession.